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Office Memorandum • UNITED STATES GOVERNMENT

TO : Chief, [illegible] Division
Att'n : Scientific Branch [redacted]

FROM : Chief, [redacted] Office

DATE: [illegible] January 19[illegible]

SUBJECT: Case [redacted] - Contract with Dr. [redacted]

1. Attached are the original and three copies of subject contract forwarded to us with Headquarters memorandum of 6 December 1956. The completion date was changed to 30 June 1957 as per telecon of 16 January 1957. Dr. [redacted] initialed the change and signed all four counterparts today, and they were witnessed and also initialed by [redacted] of this office.

2. When we approached Dr. [redacted] on the contract, his reactions were approximately the same as the objections we raised in TM [redacted] 2700, principally because all purchase orders for experimental animals, etc., are issued by [redacted] which also bears transportation and other expenses incidental to visits to the [redacted] state penitentiary. To the best of our knowledge, Dr. [redacted] is a full time employee of [redacted] and has no other office or laboratory than at the [redacted], with all of his assistants [redacted] employees also. After some discussion, it was finally decided that Dr. [redacted] would report the $500.00 on his 1957 income tax return simply as a donation from the U.S. Government for research purposes, and he will in turn make a personal donation of it to [redacted] (without disclosing the source), thereby incurring no tax liability.

3. This raises a problem if the purchase orders, transportation and other expenses are all to be borne by [redacted] inasmuch as the project cannot be completed without all funds available, and the contract as written stipulates that $300.00 of the $500.00 are payable upon satisfactory completion and submission of the report. Despite this, and to save time, Dr. [redacted] went on and signed the contract, figuring that this could be ironed out while the experiments are in progress. Therefore, when the attached contract is completed, please have it modified so that $200.00 can be paid forthwith in order to get the project under way; and the remaining $300.00 after the project is under way but before the $200.00 are consumed in expenses.

4. Paragraph two of the contract was ignored because the only property he [illegible] involved are the [illegible] will [illegible] probably does not want to take [illegible].

5. Dr. [redacted] has a form of release which he gets his prison volunteers etc., and which has in all probability been approved by attorneys for the [redacted] [illegible] literature enclosed [illegible]

[illegible] I leave with him the [illegible]
[illegible] in the 6 December memorandum.

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[redacted]

4. Per Dr. [redacted] information, Dr. [illegible] states that [illegible] would be readily available from any good drug store, through any large hospital, and certainly from Merck & Co., Inc., Rahway, New Jersey.

[redacted]

[redacted]

Attachments

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[redacted]